

EVERYTHING WAS FINE on Dalal Street until September. But the joy was short-lived. Come October, a pall of gloom seems to have pushed investors into a plunge pool of uncertainty. The benchmark indices—NSE Nifty50 and BSE Sensex—entered into a correction phase with a sharp 10% decline as of November 14 from their peaks. They had touched their record highs of 26,277 and 85,978, respectively, on September 27.

Meanwhile, the Nifty Midcap 150 and Nifty Smallcap 250 fell 10.70% and 10%, respectively, from their all-time highs scaled in late September. Earlier, the Midcap 150 index and Nifty Smallcap 250 index had rallied 435% and 514%, respectively, between March 2020 and September 2024.

58 | A fall of 10% is termed a ‘correction’, while a 20% drop from the highs is called a ‘bear’ market.

The sell-off since October has been triggered by multiple factors, including a tepid earnings season, relentless selling by foreign institutional investors (FIIs), ongoing geopolitical tensions, and a weakening rupee.

As fear and caution replace the earlier excitement, market experts recommend a shift in strategy, advising investors to focus on large-cap stocks and adopt a cautious approach.

Nilesh Shah, Managing Director, Kotak Mahindra Asset Management Company, cleared some of the uncertainties. “I don’t think we’ll see a major bear market purely from an earnings perspective. In the first half of FY25, earnings per share (EPS) on the Nifty were around ₹550, with expectations for the full year at about ₹1,050,” he said. Shah expects the second half of FY25 to be stronger, making the target achievable.

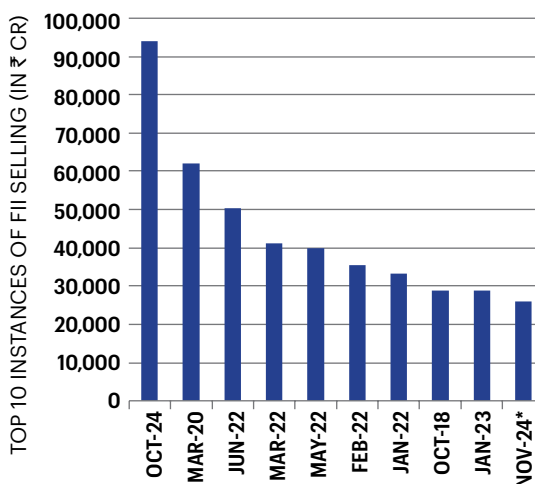
“However, reaching an EPS of ₹1,250 for FY26 appears challenging, and we may fall short. The economy and corporate profitability are fundamentally strong, so a significant market downturn seems unlikely unless FIIs sell aggressively,” Shah said in an interaction with BTTV.

On this point, Feroze Azeez, Deputy CEO of wealth management platform Anand Rathi Wealth, says, “From a medium- to long-term perspective, the average annual return on Indian equities is expected to be 11-13%.”

FIIs SPOIL THE MARKET PARTY

● FII sales in October-November match the ferocity seen at the onset of Covid-19

● FII ownership fell to 15.9% in October 2024, its lowest level since October 2014



*NOTE DATA AS OF NOV 20, 2024 SOURCE ACE EQUITY

WHY THE FREE FALL?

The magnitude of the correction in markets has been upsetting for some investors. A broad view shows nearly 71% of listed companies witnessed selling pressure between October 1 and November 14, with some stocks falling up to 79%. A sector-wise inspection reveals that the Nifty Oil & Gas Index plummeted the most at 17% during the period. It was followed by Nifty Auto (down 15%) and Nifty FMCG (down 15%).

The FMCG sector, in particular, faced headwinds in Q2FY25. Devarsh Vakil, Deputy Head of Retail Research of financial services company HDFC Securities, explains, “In Q2FY25, FMCG firms reported subdued results amid weak demand, especially urban demand, muted consumer sentiment, and the adverse impact from a prolonged monsoon.”

The combined consolidated net profit of the 15 FMCG companies that are part of the Nifty FMCG index grew just 1% in Q2FY25 against an 8.5% rise a year ago (Q2FY24).

“Inflation continues to remain high, especially in agri commodities, impacting margins. Most

₹49
lakh crore

BSE-LISTED FIRMS’ M-CAP DECLINE AS OF NOV 18—FROM A PEAK OF ₹478 LAKH CRORE ON SEP 27